Construction Payment Analytics & Cash Flow Assessment

Investor briefing: consolidated review of 13 payment milestones · Reporting period: 28 April 2025 – 10 July 2026 · Currency: VND (bn = billion)

Executive Summary

Overview. Over 13 certified milestones the Project converted 65.64 bn VND of approved value (incl. VAT) into **61.64 bn VND** of cash, or 93.9%, including the 3.29 bn VND contract advance received at the outset. Net Payable from the progress payments alone was **58.35 bn VND**, on certified work of **60.78 bn VND** (excl. VAT). Three matters merit investor attention: cash inflow is front-loaded (94.0% received by Milestone 10), 3.28 bn VND of retention remains held by the employer, and the contract value was adjusted upward during construction, with certified work at 89.6% of the adjusted value and the supporting documents not provided.

Key metrics

Metric	Value	Reference
Approved work (excl. VAT)	60.78 bn VND	Section 2
Total approved value (incl. VAT)	65.64 bn VND	Section 3
Net Payable, 13 progress payments	58.35 bn VND	Section 2
Contract advance received at the outset	3.29 bn VND	Section 3
Total cash received	61.64 bn VND (93.9% of approved value)	Section 3
Retention held by the employer	3.28 bn VND (5.00% of approved value)	Section 3
Deductions and penalties	0.72 bn VND (1.09% of approved value)	Section 3
Peak single-milestone inflow	9.71 bn VND (M09; 16.6% of Net Payable)	Section 2
Net Payable received by Milestone 10	94.0%	Section 2
Certified work against adjusted contract value	89.6% (60.78 vs 67.82 bn VND)	Section 4

Investment strengths

- **High cash conversion.** 93.9% of approved value (incl. VAT) was collected by Milestone 13; the 4.00 bn VND balance consists solely of retention (3.28 bn VND) and deductions (0.72 bn VND).
- **Regular certification cycle.** Milestones 01–09 were certified at intervals of 26–35 days.
- **Fully reconcilable ledger.** In all 13 milestones, VAT, deductions and Net Payable reconcile arithmetically (Appendix B).
- **Advance recovered early.** The 3.29 bn VND advance was fully recovered by Milestone 05; cash conversion then rose from 83.4% to 94.2%–94.4% in Milestones 06–09.

Key considerations

- **Front-loaded inflow and close-out liquidity trough.** Milestones 11–13 averaged 1.16 bn VND per milestone against 5.49 bn VND in Milestones 01–10, and no payment was received in Q2 2026 (106 days between Milestones 12 and 13).
- **Retention outstanding.** 3.28 bn VND (5.6% of Net Payable received) is held by the employer, and its release depends on defect liability terms that were not provided.
- **Higher late-stage deductions.** Deductions reached 4.6%, 2.1%, 6.2% and 5.7% of approved value in Milestones 10–13, against 0.6%–0.8% in Milestones 06–09.
- **Cost concentration.** Structural Work accounts for 84.8% of certified value, which makes margins sensitive to steel and cement prices.

- **Contract value adjustments.** The Mall Area contract value was raised from 22.49 bn VND to 44.98 bn VND (Milestone 02) and to 57.38 bn VND (Milestone 10). Against the adjusted contract value of 67.82 bn VND, 7.03 bn VND (10.4%) remains uncertified, and the supporting variation documents were not provided.
- **Limited scope of evidence.** The analysis rests on payment records only; project costs, margins and the balance sheet were not available (Section 6).

1. Project Overview & Context

This report reviews the financial performance of a 13-milestone commercial construction project, including a Mall Area, from the contractor's perspective. It draws on three payment schedules: the Summary of Payment, the Progress Payments ledger and the Value of Work Completed matrix by Work Breakdown Structure (WBS). Unlike standard retail or service businesses, construction cash flow is strictly milestone-driven: cash is realised only when work is certified, and then only after contractual deductions.

The objectives of this report are to (i) analyse actual cash realisation (Net Payable) across the 13 milestones, (ii) identify the structural gap between approved work and cash inflow, and (iii) evaluate how the value of work is allocated across WBS categories.

Intended use and scope. This briefing supports a prospective investor's review of the Project's payment performance. It is based solely on the three payment schedules described above and does not cover project costs, margins, financing, the balance sheet or contract terms; the related information requirements are listed in Section 6. In this report, "the employer" means the project owner that certifies and pays the progress payments, and "the investor" means the prospective investor.

Basis of preparation

- All amounts are in VND; "bn" denotes billion. Figures are rounded to two decimals, so components may not sum exactly. Exact VND amounts are provided in Appendix A.
- "Approved work" is stated excl. VAT; "Approved value" is stated incl. VAT. VAT is 8.00% of approved work in every milestone.
- Net Payable is VAT-inclusive and is stated after advance payment recovery, retention and deductions. It should therefore be compared with Approved value (incl. VAT), not with Approved work (excl. VAT).
- The Progress Payments ledger is the primary source of record. Minor variances to the other schedules are listed in Appendix B.

2. Cash Flow Trend Analysis (13 Milestones)

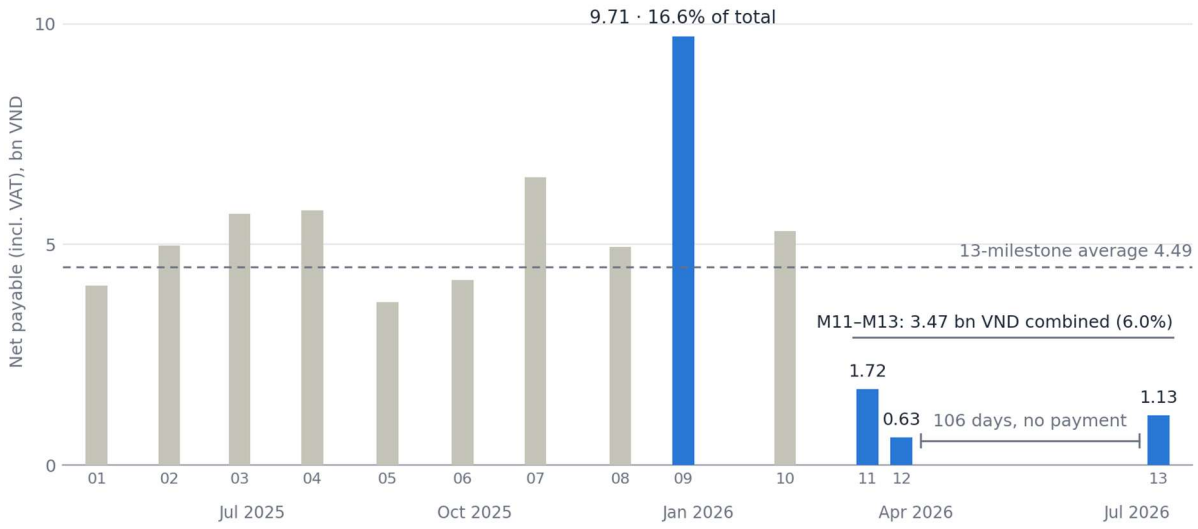
Across the 13 milestones, the project generated total Approved Work (excl. VAT) of **60.78 bn VND** (60,780,696,361 VND) and a Total Approved Value (incl. VAT) of **65.64 bn VND** (65,643,152,070 VND), resulting in an actual Net Payable cash inflow of **58.35 bn VND** (58,351,094,535 VND).

No.	Date	Approved work (excl. VAT)	Approved value (incl. VAT)	Advance recovery	Deductions	Retention	Net payable	Net as % of approved
M01	28 Apr 2025	4.51	4.87	0.56	–	0.24	4.06	83.4%
M02	28 May 2025	5.52	5.96	0.69	–	0.30	4.97	83.4%
M03	26 Jun 2025	6.32	6.82	0.79	–	0.34	5.69	83.4%
M04	26 Jul 2025	6.41	6.93	0.80	–	0.35	5.78	83.4%
M05	26 Aug 2025	4.15	4.48	0.45	0.12	0.22	3.69	82.4%
M06	26 Sep 2025	4.12	4.45	–	0.03	0.22	4.20	94.3%
M07	26 Oct 2025	6.40	6.91	–	0.04	0.35	6.52	94.4%
M08	30 Nov 2025	4.86	5.25	–	0.04	0.26	4.94	94.2%
M09	**26 Dec 2025**	**9.53**	**10.29**	**–**	**0.06**	**0.51**	**9.71**	**94.4%**
M10	06 Feb 2026	5.43	5.86	–	0.27	0.29	5.30	90.5%
M11	12 Mar 2026	1.71	1.85	–	0.04	0.09	1.72	92.9%
M12	26 Mar 2026	0.65	0.71	–	0.04	0.04	0.63	88.8%
M13	10 Jul 2026	1.17	1.26	–	0.07	0.06	1.13	89.3%
Total		**60.78**	**65.64**	**3.29**	**0.72**	**3.28**	**58.35**	**88.9%**

VND bn. “Advance recovery”, “Deductions” and “Retention” are amounts withheld from the approved value (incl. VAT).

Net payable peaked at 9.71 bn VND in M09, then dropped to 0.63–1.72 bn VND in M11–M13

58.35 bn VND received across 13 milestones; 94.0% arrived by M10. Bars are placed by payment date.



Progress Payments ledger, Net Payable (VAT-inclusive) · 13 milestones, 28 Apr 2025 – 10 Jul 2026

Cash inflow by phase

Phase	Milestones	Period	Net payable (bn VND)	Share of total	Average per milestone (bn VND)
Ramp-up	M01–M04	28 Apr – 26 Jul 2025	20.51	35.1%	5.13
Steady execution	M05–M08	26 Aug – 30 Nov 2025	19.36	33.2%	4.84

Phase	Milestones	Period	Net payable (bn VND)	Share of total	Average per milestone (bn VND)
Peak and transition	M09–M10	26 Dec 2025 – 06 Feb 2026	15.01	25.7%	7.51
Close-out tail	M11–M13	12 Mar – 10 Jul 2026	3.47	6.0%	1.16

On a calendar-quarter basis, Net Payable was 14.73 bn VND in Q2 2025, 13.67 bn VND in Q3 2025, 21.18 bn VND in Q4 2025, 7.65 bn VND in Q1 2026, nil in Q2 2026 and 1.13 bn VND in Q3 2026.

Key observations

- **Peak performance (Milestone 09).** The project reached its maximum cash realisation in December 2025 (Payment No. 09, dated 26/12/2025), generating **9.71 bn VND** in a single period (Net Payable of 9,713,169,712 VND). This represents 16.6% of total Net Payable, 2.2x the 13-milestone average and 1.5x the next-highest milestone (M07: 6.52 bn VND). It was driven by peak certified work of 9.53 bn VND (excl. VAT), of which Structural Work contributed 8.41 bn VND (88.2%).
- **Cash flow drop-off (Milestones 11–12).** A significant downward trend is observed entering Q1 2026. After Milestone 10 (06/02/2026; 5.30 bn VND, down 45.4% from M09), Net Payable fell sharply to **1.72 bn VND** at Milestone 11 (12/03/2026; 1,718,106,205 VND; down 67.6%) and to **0.63 bn VND** at Milestone 12 (26/03/2026; 628,072,090 VND; down 63.4%), which is 93.5% below the peak.
- **Partial rebound (Milestone 13).** Milestone 13 (10/07/2026) recovered 79.2% to **1.13 bn VND** (1,125,803,163 VND) but remained 88.4% below the peak. The 106-day interval between Milestones 12 and 13 compares with intervals of 14–42 days (median 30 days) between Milestones 01 and 12.
- **Cash conversion.** Net Payable represented 83.4% of approved value in M01–M04, while the advance was being recovered, and 94.2%–94.4% in M06–M09, once recovery was complete (M05 was the final instalment). Conversion then softened to 88.8%–92.9% in M10–M13 as deductions increased (see Section 3).
- **Business implication.** The drastic decline in cash realisation toward the end of the project lifecycle creates a liquidity risk. Milestones 11–13 averaged 1.16 bn VND per milestone against 5.49 bn VND in Milestones 01–10 (a reduction of 78.9%). For a prospective investor, this low-cash period is the principal liquidity exposure: the contractor needs sufficient working capital to cover overheads and defect liability costs while inflow is thin.

3. The “Approved vs. Net” Gap: Construction Industry Dynamics

A critical insight from the Progress Payments ledger is the difference between the Total Approved Value (incl. VAT) of **65.64 bn VND** (65,643,152,070 VND) and the total Net Payable of **58.35 bn VND** (58,351,094,535 VND). A total of **7.29 bn VND** (7,292,057,535 VND), or 11.1% of approved value, was withheld or deducted across the project lifecycle. The gap is fully explained by three mechanisms:

Step	VND	VND bn	% of approved value (incl. VAT)
Approved work (excl. VAT)	60,780,696,361	60.78	92.59%
Add: VAT (8%)	4,862,455,709	4.86	7.41%
Total approved value (incl. VAT)	**65,643,152,070**	**65.64**	**100.00%**
Less: advance payment recovery	(3,293,215,580)	(3.29)	5.02%
Less: retention	(3,282,157,604)	(3.28)	5.00%
Less: deductions & penalties	(716,684,351)	(0.72)	1.09%

Step	VND	VND bn	% of approved value (incl. VAT)
Net payable (progress payments)	**58,351,094,535**	**58.35**	**88.89%**
Add: contract advance received at the outset	3,293,215,580	3.29	5.02%
Total cash received	**61,644,310,115**	**61.64**	**93.91%**

- **Retention money (3.28 bn VND / 3,282,157,604 VND; 45.0% of the gap).** Withheld by the employer at exactly 5.00% of Total Approved Value (incl. VAT) in every milestone, to guarantee quality and rectify defects during the defect liability period. Closeout retention is nil in the ledger, so the full amount remains held.
- **Advance payment recovery (3.29 bn VND / 3,293,215,580 VND; 45.2% of the gap).** The contract advance, equal to exactly 10.0% of the original Contract Value (32,932,155,800 VND, before the later upward adjustments), was recovered by the employer over Milestones 01–05 at 12.5% of approved work (excl. VAT) per milestone. The final instalment in M05 (447,926,933 VND) cleared the balance. Because the advance was received in cash at the outset, its recovery is a timing effect rather than a loss of value.
- **Deductions & penalties (716 million VND / 716,684,351 VND; 9.8% of the gap).** Applied in nine of the 13 milestones (M05–M13). They were concentrated late in the project: Milestone 10 alone accounted for 266.68 million VND (37.2%), and Milestones 10–13 together for 421.44 million VND (58.8%). The deduction rate reached 4.6%, 2.1%, 6.2% and 5.7% of approved value in M10–M13, against 0.6%–0.8% in M06–M09.

Note: The contractor must forecast cash flow based on the Net Payable amount, not the Approved Work Value, to avoid overestimating available liquidity. Net Payable is VAT-inclusive, so the like-for-like benchmark is Approved value incl. VAT (65.64 bn VND). Comparing Net Payable directly with Approved work excl. VAT (60.78 bn VND) shows an apparent shortfall of only 2.43 bn VND, which understates the true 7.29 bn VND gap because 4.86 bn VND of VAT sits inside Net Payable.

Cash position including the advance. Total cash received of 61.64 bn VND equals 93.9% of approved value (incl. VAT). The remaining 4.00 bn VND (6.1%) comprises retention of 3.28 bn VND, which is recoverable at the end of the defect liability period, and deductions of 0.72 bn VND, which are not recoverable unless reversed or settled.

4. WBS Cost Allocation (Value of Work Completed)

The Task Description matrix reveals a highly concentrated cost structure. Original contract values are shown alongside adjusted values because certified work includes scope added through Variation Orders (VOs) approved during construction; like-for-like comparisons are therefore made against the adjusted values. The matrix reports three groups, each an exact subtotal of its underlying items: Reinforced Concrete Works for Mall Area (Foundation plus Structural Work), Reinforced Concrete Works for Equipment Pad, and Sub-Miscellaneous (Miscellaneous, Roof Drainage, Rebar Work for Post-Tension and External Scaffolding Works).

WBS category	Original contract value (bn VND)	Adjusted contract value (bn VND)	Cumulative certified, excl. VAT (bn VND)	Certified as % of adjusted value	Share of total certified
Reinforced Concrete Works for Mall Area	**22.49**	**57.38**	**55.26**	**96.3%**	**90.9%**
– Foundation	2.40	n/a	3.72	n/a	6.1%
– Structural Work	20.09	n/a	51.55	n/a	84.8%

WBS category	Original contract value (bn VND)	Adjusted contract value (bn VND)	Cumulative certified, excl. VAT (bn VND)	Certified as % of adjusted value	Share of total certified
Reinforced Concrete Works for Equipment Pad	**2.35**	**2.35**	**0.22**	**9.3%**	**0.4%**
Sub-Miscellaneous	**8.09**	**8.09**	**5.30**	**65.5%**	**8.7%**
– Miscellaneous	3.74	3.74	1.34	35.8%	2.2%
– Roof Drainage	0.09	0.09	0.005	5.5%	0.0%
– Rebar Work for Post-Tension	0.08	0.08	0.07	90.0%	0.1%
– External Scaffolding Works	4.17	4.17	3.88	93.0%	6.4%
Total	**32.93**	**67.82**	**60.78**	**89.6%**	**100.0%**

Adjusted values for the Mall Area group are as advised by management (44.98 bn VND from Milestone 02; 57.38 bn VND from Milestone 10); the split between Foundation and Structural Work was not provided, and the other groups are assumed unchanged. The Original contract value column reproduces the Contract Value row of the WBS matrix, which is the contract as first signed and is correctly stated; it has not been restated for VOs.

- **Top cost drivers.** Reinforced Concrete Works for the Mall Area is the dominant capital sink, with 55.26 bn VND certified (90.9% of total), or 96.3% of its adjusted contract value of 57.38 bn VND (original contract: 22.49 bn VND; the difference reflects scope expansion under approved VOs). Structural Work is its core component at 51.55 bn VND (84.8% of total; 93.3% of the group), while Foundation contributed 3.72 bn VND (6.1%). Foundation and Structural Work are components of the Mall Area group and should not be added to it as separate cost drivers.
- **Progress distribution.** Work execution peaked during the mid-project milestones: Payments 03 through 09 accounted for 41.79 bn VND (68.8% of cumulative certified work), with Milestone 09 alone at 9.53 bn VND (15.7%). Certification then tapered to 3.53 bn VND (5.8%) across Milestones 11–13. Structural Work represented between 76.0% and 99.5% of monthly certified work in every milestone from M02 to M12. Foundation was front-loaded (94.5% certified in M01–M02, with no certification after M08), and finishing items such as External Scaffolding Works (0.40 bn VND) and the Equipment Pad (0.09 bn VND) featured more prominently in M13.
- **Anomalies in miscellaneous works.** While most WBS categories follow a predictable S-curve, the Sub-Miscellaneous group shows abrupt spikes: 1.53 bn VND in Milestone 07 and 1.10 bn VND in Milestone 09, against 0.01 bn VND in Milestone 08. External Scaffolding Works drove both peaks (1.50 bn VND in M07, or 98.2% of the group's total that month, and 1.06 bn VND in M09). As this is an original contract item that is already 93.0% certified, the spikes reflect the phasing of a scheduled work package rather than the residual Miscellaneous line, which peaked early (0.49 bn VND in each of M01 and M02) and stood at only 14.6 million VND in M07. They should nonetheless be validated against the variation register.
- **Scope expansion through Variation Orders.** The original Mall Area contract of 22.49 bn VND is accurately recorded in the WBS matrix. The 55.26 bn VND actually certified reflects a scope expansion (Scope Expansion) carried out under VOs approved in stages: per management, the Mall Area contract value was raised to 44.98 bn VND (Milestone 02) and to 57.38 bn VND (Milestone 10), a cumulative increase of 34.88 bn VND (+155.1%). Certified work for Structural Work (51.55 bn VND against 20.09 bn VND originally) and Foundation (3.72 bn VND against 2.40 bn VND) therefore sits above the original contract values because the scope grew, and should be read against adjusted rather than original values. Against the adjusted contract value of 67.82 bn VND, which assumes no change to the other groups, certified work is 89.6% and 7.03 bn VND (10.4%) remains uncertified, mainly in Sub-Miscellaneous (2.79 bn VND), the Equipment Pad (2.13 bn VND) and the Mall Area group (2.11 bn VND).
- **Variation Order management risk.** Variation Orders account for 34.88 bn VND of the Mall Area contract, more than the original contract value of 22.49 bn VND, so the integrity of the Project's

certified value depends heavily on VO governance. Three exposures follow. Timing: cumulative certified work for the Mall Area group was 47.69 bn VND at Milestone 09, which exceeded the 44.98 bn VND contract value then in force by 2.70 bn VND, before the second adjustment at Milestone 10. Allocation: the added value has not been split between Foundation and Structural Work, so item-level progress against adjusted value cannot be measured. Documentation: the VO approvals and their effective dates were not provided to the preparer, and the status of the 7.03 bn VND of uncertified scope depends on them. Tighter control over VO approval, valuation and WBS allocation before certification is the main safeguard.

- **Remaining scope and completion schedule.** On the adjusted contract value of 66.02 bn VND (as advised), certified work of 60.78 bn VND at Milestone 13 (10 July 2026) represents 92.1%, leaving an uncertified balance of approximately 5.24 bn VND (7.9%). This adjusted value is approximately 1.80 bn VND below the indicative 67.82 bn VND used in the table above, which assumes that the Equipment Pad and Sub-Miscellaneous groups are unchanged; the difference has not been allocated to WBS groups and should be reconciled to the VO register. The Variation Orders, as advised, set the completion date at 31 August 2026, which left 52 days from Milestone 13. The remaining balance exceeds the 3.53 bn VND certified across Milestones 11–13 combined, so on-time completion would require a markedly higher certification pace than the close-out phase has shown. The schedules reviewed end at Milestone 13, so progress after 10 July 2026 has not been assessed. For a prospective investor this presents a dual risk:

Execution risk. To avoid potential delay penalties (Liquidated Damages, LDs), the contractor would need to complete the remaining scope of approximately 5.24 bn VND by 31 August 2026. The LD rate, cap and any grace period were not provided, so the exposure cannot be quantified. Deductions and penalties of 0.72 bn VND were already applied in nine milestones (M05–M13) on a basis that was not provided, so it is not known whether any relate to delay.

Cash flow risk. The contractor funds the remaining work until it is certified, and payment for the final scope is likely to be processed after completion, which would create a cash gap during the final stage. Payment timing has already lengthened once in the data (106 days between Milestones 12 and 13), and the final certification will bear retention at 5.00% and any deductions. The 3.28 bn VND of retention already held is not available to bridge that gap.

5. Data Integrity & Analytical Review

This section records an analytical point that arose while the WBS data in Section 4 was being reviewed. It is included because it affects how the original and adjusted contract values should be read, and because the way it was resolved supports the reliability of the figures in this report.

Initial observation. In the first pass of the WBS analysis, cumulative certified work was compared directly with the Contract Value row of the matrix, which holds the original contract values. Taken in isolation, that comparison suggested a variance of approximately 184% against the original contract, and a corresponding overrun. The Mall Area group showed the same pattern (55.26 bn VND certified against an original 22.49 bn VND). The comparison was not like-for-like: it set work performed under an expanded scope against a contract value that pre-dates the expansion.

Cross-checking. Three checks were applied before any conclusion was drawn:

- **Original value confirmed.** The Contract Value row is accurate as a record of the original contract: the contract advance of 3.29 bn VND equals exactly 10.0% of the original contract value of 32.93 bn VND (Appendix B, item 2).
- **Certified work confirmed against the ledger.** The WBS matrix totals agree to the Approved work in the Progress Payments ledger in every milestone except M13, where the difference is

VND 1,000 (Appendix B, item 4). The certified amounts are therefore consistent with the payments actually approved.

- **Difference explained by Variation Orders.** Management confirmed that the Mall Area contract value was increased through approved VOs, to 44.98 bn VND at Milestone 02 and to 57.38 bn VND at Milestone 10. Measured against that adjusted value, Mall Area certified work stands at 96.3%.

Outcome. The two figures measure different things and do not conflict. The 22.49 bn VND is the Mall Area contract as originally signed; the 55.26 bn VND is work certified under that contract after approved scope expansion. The difference is not a data error and is not evidence of a cost overrun: the matrix records the certified value of work, and project costs were not available to the preparer (Section 6). Identifying this distinction was a necessary step in keeping the report accurate, because original and adjusted values must not be mixed within the same ratio. This briefing therefore presents certified work against adjusted values (96.3% for the Mall Area group; 89.6% for the total) and shows original values for reference only.

Matters remaining open. The review resolves the nature of the difference but not its documentation. The VO approvals, their effective dates and the allocation of the added value between Foundation and Structural Work remain to be evidenced, as does the 2.70 bn VND by which certified Mall Area work exceeded the contract value then in force at Milestone 09. These are VO-management matters, set out in Section 4 and in the information requests in Section 6.

6. Conclusion & Strategic Recommendations

Conclusion. By Milestone 13 the Project had converted 93.9% of approved value (incl. VAT) into cash, with an orderly payment cycle and a fully reconcilable ledger. The inflow profile was nevertheless uneven: 94.0% of Net Payable arrived within the first ten milestones, the close-out phase was thin and irregular, and 3.28 bn VND of retention remains held. The cost base is dominated by structural concrete work, and the contract value was adjusted upward during construction, with supporting documents still to be provided. A prospective investor should weigh these items against the information requirements listed below.

Risk assessment

Risk	Evidence	Mitigant or action	Assessment
Close-out liquidity	M11–M13 averaged 1.16 bn VND against 5.49 bn VND in M01–M10; 106 days without payment between M12 and M13	Cash buffer sized to overheads over the longest observed payment gap; confirm the payment schedule for remaining scope	High
Contract value adjustments	Mall Area contract value raised from 22.49 bn VND to 44.98 bn VND (M02) and 57.38 bn VND (M10); certified work exceeded the then-current value at M09 by 2.70 bn VND	Obtain the variation orders and employer approvals, and confirm their effective dates	Medium
Completion delay and liquidated damages	About 5.24 bn VND (7.9%) uncertified at M13 against a 31 August 2026 completion date (52 days); LD terms not provided; no data after M13	Obtain the LD clause and the completion date in the Variation Orders; confirm certified progress after M13 and agree a recovery programme with the employer	High
Retention recovery	3.28 bn VND held; closeout retention is nil	Retention register; confirm release conditions; assess a bank retention guarantee	Medium
Deductions and penalties	0.72 bn VND, of which 58.8% arose in M10–M13 at up to 6.2% of approved value	Root-cause review of each deduction; contest unsupported items	Medium
Cost concentration	Structural Work is 84.8% of certified value	Monthly unit-cost tracking; price-escalation provisions where available	Medium

Risk	Evidence	Mitigant or action	Assessment
Single counterparty	All 13 payments are recorded under one contract; the employer's credit standing is not in the data	Obtain employer financial information and any payment security	Medium

Assessments reflect the preparer's judgement based on the payment data alone.

Recommended management actions

1. **Liquidity management.** The contractor must build a cash buffer during high-yield months (such as Milestones 07 and 09, where Net Payable reached 6.52 bn VND and 9.71 bn VND) to sustain operational continuity through the sharp contraction in early 2026 (Milestones 11–12: 1.72 bn VND and 0.63 bn VND). The buffer should be sized against fixed overheads over the longest observed inter-payment gap (106 days), and cash forecasts should be built on Net Payable, which is VAT-inclusive and stated after retention and deductions.
2. **Cost overrun monitoring.** With Structural Work representing 84.8% of certified value (90.9% for the Mall Area group), any fluctuation in raw material prices (steel, cement) poses a severe risk to the project's profit margin. Unit costs for these items should be tracked monthly against certified value.
3. **Retention recovery.** A clear administrative process must be established so that the 3.28 bn VND of retention money is tracked and collected promptly upon expiry of the defect liability period, covering a retention register, release conditions and a claim timetable. Where contract terms allow, replacing cash retention with a bank retention guarantee should be evaluated to release cash earlier.
4. **Deductions and penalties control.** Of the 0.72 bn VND deducted, 58.8% arose in Milestones 10–13, at rates of up to 6.2% of approved value. Each deduction should be reviewed for root cause and validity, and contested where unsupported, and late-stage deduction rates should be reflected in cash forecasts.
5. **Contract adjustments and remaining scope.** The variation documents supporting the two upward adjustments to the Mall Area contract value (44.98 bn VND from Milestone 02 and 57.38 bn VND from Milestone 10) should be obtained, and the contract value in the payment records should be updated. The status of the 7.03 bn VND of uncertified scope should also be confirmed (to be billed, deferred or de-scoped), as this determines remaining cash inflow.

Information requested for investor due diligence

- Contract, variation register and employer approvals supporting the 60.78 bn VND of certified work
- Application, certification and cash-receipt dates for each milestone
- Defect liability period, retention release and penalty provisions, and advance guarantee terms
- Project cost ledger and margin by WBS category, and the forecast cost to complete
- Remaining uncertified scope and its expected billing schedule (7.03 bn VND against the adjusted contract value)
- Liquidated damages clause, the completion date in the Variation Orders, and certified progress after Milestone 13 against the 31 August 2026 completion date
- Working capital and financing arrangements, and the employer's financial standing

Source: Summary of Payment, Progress Payments and Value of Work Completed schedules provided by management.

Appendix A – Source Ledger (VND)

No.	Date	Approved work (excl. VAT)	Approved value (incl. VAT)	Advance recovery	Deductions	Retention	Net payable
M01	28 Apr 2025	4,509,955,246	4,870,751,666	563,744,406	–	243,537,583	4,063,469,677
M02	28 May 2025	5,521,426,628	5,963,140,758	690,178,329	–	298,157,038	4,974,805,391
M03	26 Jun 2025	6,318,169,900	6,823,623,492	789,771,238	–	341,181,175	5,692,671,079
M04	26 Jul 2025	6,412,757,393	6,925,777,984	801,594,674	–	346,288,899	5,777,894,411
M05	26 Aug 2025	4,148,339,888	4,480,207,079	447,926,933	116,032,812	224,010,354	3,692,236,980
M06	26 Sep 2025	4,118,517,582	4,447,998,989	–	30,545,535	222,399,949	4,195,053,505
M07	26 Oct 2025	6,399,770,112	6,911,751,721	–	41,918,121	345,587,586	6,524,246,014
M08	30 Nov 2025	4,860,985,900	5,249,864,772	–	43,338,456	262,493,239	4,944,033,077
M09	26 Dec 2025	9,528,825,252	10,291,131,272	–	63,404,996	514,556,564	9,713,169,712
M10	06 Feb 2026	5,427,107,165	5,861,275,738	–	266,678,719	293,063,787	5,301,533,232
M11	12 Mar 2026	1,712,598,185	1,849,606,040	–	39,019,533	92,480,302	1,718,106,205
M12	26 Mar 2026	654,958,490	707,355,169	–	43,915,321	35,367,758	628,072,090
M13	10 Jul 2026	1,167,284,620	1,260,667,390	–	71,830,857	63,033,370	1,125,803,163
Total		**60,780,696,361**	**65,643,152,070**	**3,293,215,580**	**716,684,351**	**3,282,157,604**	**58,351,094,535**

Contract advance received at the outset: 3,293,215,580 VND. Total cash received (Net Payable plus advance): 61,644,310,115 VND. Totals are as stated in the ledger; individual lines may differ from the total by VND 1 due to rounding.

Appendix B – Data Basis and Reconciliation Notes

1. **Integrity of the ledger.** In all 13 milestones, Approved value (incl. VAT) equals Approved work plus 8% VAT, and Net Payable equals Approved value less advance recovery, deductions and retention, within VND 1 of rounding. The WBS matrix totals agree to the ledger's Approved work in every milestone except M13 (see item 4).
2. **Contract value.** The Contract Value row in the WBS matrix shows the original contract (32,932,155,800 VND), and the contract advance equals exactly 10.0% of it. Management advised that the Reinforced Concrete Works for Mall Area were adjusted upward during construction, from 22,492,278,600 VND to 44,984,557,200 VND at Milestone 02 and to 57,375,490,109 VND at Milestone 10 (unchanged to Milestone 13). These adjustments are not reflected in the matrix, and the supporting documents were not provided. Other WBS groups are assumed unchanged, so the adjusted contract value of 67,815,367,309 VND is indicative. Cumulative certified work for the Mall Area group (47,686,422,652 VND) exceeded the contract value then in force (44,984,557,200 VND) at Milestone 09.
3. **Milestone 02 classification.** The Summary of Payment records 690,178,329 VND under "Deductions", whereas the Progress Payments ledger records it under "Advance Payment Recovery". The ledger treatment is adopted because it makes cumulative recovery equal the contract advance exactly (3,293,215,580 VND). Net Payable is unaffected.
4. **Immaterial variances.** The Summary of Payment shows Milestone 04 retention of 346,288,889 VND and Net Payable of 5,777,894,421 VND, against 346,288,899 VND and 5,777,894,411 VND in the ledger (VND 10); the ledger figure equals exactly 5% of approved value. The WBS matrix total for Milestone 13 is 1,167,283,620 VND against 1,167,284,620 VND in the ledger (VND 1,000). The ledger is used for payment analysis and the matrix for category analysis.
5. **Terminology.** "Completed Work Value" is VAT-inclusive in the Summary of Payment (M09: 10,291,131,272 VND) but VAT-exclusive in the WBS matrix (M09: 9,528,825,252 VND). This report uses "Approved work (excl. VAT)" and "Approved value (incl. VAT)" throughout. The ledger column holding VAT (total 4,862,455,709 VND) is not clearly labelled; it is identified as VAT

because it equals 8.00% of approved work in every milestone. “Employer” means the project owner that certifies and pays the progress payments (described as the “investor” in the source working notes); “investor” in this report means the prospective investor.

6. **Dates.** Dates are as stated in the ledger. Whether they are application, certification or actual cash-receipt dates is not specified, so payment intervals and quarterly inflows should be read on that basis.
7. **Contract terms not available in the data.** The defect liability period, retention release conditions, the basis of penalties and the advance guarantee terms are not provided, so the timing of retention release is not forecast in this report.